Structuring a Three-Owner Wisconsin Construction Partnership: A Decision-Ready Playbook for CWDB

TL;DR

- **Recommended structure:** Form a **new Wisconsin multi-member LLC ("NewCo") taxed as an S-corporation, with each partner's individual LLC owning one-third of NewCo as a holding entity** — combining the FICA savings of S-corp treatment, the asset-protection of holding companies, the operational simplicity of LLC governance, and full QBI eligibility (construction is NOT an SSTB, so all three owners get the 20% Section 199A deduction permanently after OBBBA). Layer a Wisconsin **PTE election** at NewCo to deduct 7.9% WI tax above the federal SALT cap.
- **Stop the $80/hr 1099 cross-billing arrangement within 6–12 months.** It is a heavily audited area in Wisconsin construction, and even though Ben/John are paid through their LLCs (which mitigates classification risk), the arrangement creates QBI optimization friction, blurs control of jobs, and leaves the user (with no DCQ credential) exposed when a permitted job is being run. In the meantime, document each engagement with subcontractor agreements, COIs, FEINs, and project-specific scopes that satisfy the **Wisconsin DWD nine-part test** (Wis. Stat. § 102.07(8)).
- **The user's leverage is not the DCQ credential** (which costs $99 and 12 hours to obtain — a non-issue) **but his role as the operator/marketer/systems-builder.** Equal 33/33/33 capital ownership is appropriate, but profit allocation should be split into (a) guaranteed payments / W-2 salary for active roles, (b) a "rainmaker bonus" tied to originated revenue, and (c) residual profit pro-rata to ownership. Use **profits interests with vesting** (Rev. Proc. 93-27 — non-taxable on grant) for any equity granted before initial capitalization; use a **four-year cliff/graded vesting schedule** so an early walkaway loses unvested equity.

Key Findings

1. **Wisconsin licensing is the cheapest, easiest part of this transaction.** Wisconsin has *no exam* for the Dwelling Contractor Qualifier (DCQ); the user simply completes a 12-hour DSPS-approved online course Thecontractormatrix (~$99 from providers like Wisconsin Contractors Institute or At-Leisure), pays $45 in state fees, ServiceTitan and submits via the LicensE portal. The business-level Dwelling Contractor (DC) certification is a separate $40 credential ServiceTitan held in the entity's name. **One DCQ-holding owner-employee is sufficient to cover the entire entity** under Wis. Admin. Code § SPS 305.31; you do not need three credentials.
2. **Wisconsin construction work is one of the most aggressively enforced worker-classification environments in the country.** Wis. Stat. § 103.06 expressly authorizes DWD to conduct construction-site compliance investigations Wisconsin Department of Workforce and issue **stop-work orders**. MWH Law Group The unemployment-insurance test and the workers'-comp **9-part test** under § 102.07(8) require the worker to satisfy *all nine* prongs Wisconsin Department of Workforce (FEIN, separate business, multiple contracts, operating expenses, profit/loss exposure, etc.). The good news: Ben's and John's LLCs already satisfy most of these factors. The 2024 DOL 6-factor "economic reality" test is the federal overlay; under the Trump administration's February 2026 proposed rule the DOL will return to the more contractor-friendly 2021 framework, but the WI tests are **independently enforced** and stricter.
3. **OBBBA (signed July 4, 2025) reshaped the tax landscape favorably** for this scenario:
   - **100% bonus depreciation is permanent** for property acquired/placed in service after **January 19, 2025** (IRC § 168(k)). Trucks, equipment, tools all qualify.
   - **Section 179** raised to **$2.56M deduction / $4.09M phase-out / $6.65M full phase-out for 2026**; SUV cap is

$32,000.

  - **QBI (§ 199A) made permanent** at 20%; 2026 phase-in thresholds widened to $201,775 single / $403,500 MFJ, with phase-in ranges expanded to $75K single / $150K MFJ. **Construction is NOT a Specified Service Trade or Business**, so QBI is fully available even at high incomes — subject to the W-2 wage and UBIA-of-qualified-property limits, which actually push an S-corp election in your favor because of the W-2 wage paid to owners.
  - **Completed-Contract Method (CCM)** small contractor exception extended from 2 to 3 years and broadened to multifamily residential under OBBBA.

4. **At $1M–$5M combined revenue, the structural sweet spot is an LLC taxed as an S-corp** (or a Wisconsin "tax-option (S) corporation") rather than a C-corp. The 21% federal C-corp rate plus a second layer of dividend tax (15-23.8%) totals ~37-40% before WI's 7.9% corporate tax. Wisconsin Department of Revenue Pass-through with QBI yields an effective top federal marginal rate of roughly 29.6% (37% × 0.80), and Wisconsin's PTE election lets the entity pay the 7.9% state tax federally-deductibly.
5. **Wisconsin abolished its state prevailing wage law** for both local (Jan. 1, 2017) and state (Sept. 23, 2017) public works. eMars **Only federal Davis-Bacon ($2,000+ federally-funded projects) applies.** eMars This is a meaningful tailwind if you bid public work — fewer compliance burdens than in MN/IL.
6. **There is essentially no contractor reciprocity between Wisconsin and its neighbors** (MN, IL, IA, MI). Each state regulates differently — IL has no state-level GC license at all, Contractor Licenses MN requires a separate Residential Building Contractor license, MI requires a Residential Builder license with exam, IA registers contractors through the Iowa Workforce Development. Plan to register separately in any state where you'll pull permits.
7. **Wisconsin is a marital/community property state** (Chapter 766). This affects every partner's interest: a spouse has an undivided 50% interest in property acquired during marriage, including LLC interests acquired with marital effort. Staffordlaw Without Marital Property Agreements (Wis. Stat. § 766.58) or robust buy-sell mechanisms, a divorce could force one-sixth of the operating company onto the cap table to a non-active spouse. **All three partners should execute MPAs reclassifying their NewCo interests as individual property and obtain spousal consents in the operating agreement.**
8. **Wisconsin non-competes are aggressively scrutinized.** Wis. Stat. § 103.465 voids any restraint deemed unreasonable in scope, time, or geography O'Flaherty Law — and unlike most states, Wisconsin courts are largely "red pencil" rather than "blue pencil" within an indivisible covenant (modified somewhat by *Star Direct v. Dal Pra*, 2009 WI 76). The standard playbook: 1–2 year duration, geography limited to actual customer/territory footprint, and **draft each restrictive covenant (non-solicit of customers, non-solicit of employees, non-disclosure) as separately enforceable provisions** so one failure doesn't sink the rest. Note: restrictive covenants in stock-purchase or operating agreements (vs. employment agreements) are reviewed under the more lenient common-law "rule of reason" West & Dunn — *Selmer Co. v. Rinn* — so embedding owner non-competes in the operating agreement (not employment agreements) is the stronger play.

Details

1. Wisconsin Construction Licensing Roadmap (User-Specific)

The Two-Credential System (Wis. Stat. § 101.654; Wis. Admin. Code § SPS 305.31):

Credential	Held by	Required For	Cost	Renewal
Dwelling Contractor (DC)	The Business Entity	Pulling permits on 1- or 2-family dwellings	$15 application + $25 credential =	Annually, $25, no CE

			$40	
Dwelling Contractor Qualifier (DCQ)	An individual owner or W-2 employee	Required for the DC to be valid; the DCQ "covers" the entity	$15 + $30 = $45 + ~$99 course	Every 2 years; 12 hrs CE incl. 4 hrs on construction laws/codes/contracts/liability/risk mgmt (per 2021 Wis. Act 237, eff. Nov. 1, 2022) At Leisure License

Path for the user:

- Day 1: Enroll in a DSPS-approved 12-hour Initial Qualifier Course (Wisconsin Contractors Institute, At-Leisure, RocketCert, etc.). Open-book; no proctored state exam. ROCKETCERT
- Week 1: Submit DCQ application via LicensE portal with proof of completion.
- Week 2-4: Approval typically arrives.
- After NewCo is formed, file the DC application in NewCo's name listing the user (or whichever owner you elect) as the DCQ "qualifying employee."

Critical structural point: Per § SPS 305.31(3)(b), the DC applicant for a partnership/LLC must be "the owner of the contracting business, a partner … applying on behalf of a partnership, or the chairman of the board or chief executive officer applying on behalf of the contracting corporation." Wisconsin Legislature All three of you are members. *Only one* DCQ is required. Best practice is for **two of the three** to obtain DCQs as redundancy — if the credentialed individual leaves, the entity's DC is suspended until a new DCQ is engaged.

Insurance/Bonding (Wis. Stat. § 101.654(2)(2m)): Either a **$25,000 surety bond** OR **$250,000 per-occurrence general liability insurance**. ROCKETCERT For a multi-million-dollar operation you will want $1M–$2M GL anyway, so the bond is moot.

Commercial work (>25,000 cubic feet): Falls under Wisconsin Commercial Building Code (Wis. Adopted 2021 ICC effective Sept. 1, 2025). Thecontractormatrix No general state contractor license required for commercial; the Division of Industry Services administers plan review. ServiceTitan Local (Milwaukee, etc.) may require additional licensing.

Reciprocity: None for dwelling contractor with MN, IL, IA, or MI. If you cross-border, register independently in each state.

Lead-paint (RRP): Required if working on pre-1978 housing (administered by WI DHS, separate certification).

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2. Entity Structure Comparison at $1M–$5M Revenue (Construction-Specific)

Structure	Federal Tax	WI Tax	SE/FICA	QBI	Bonding/Optics	Construction Fit
Multi-member LLC (default partnership)	Pass-through, Schedule K-1; partners pay SE tax on full distributive share Internal Revenue Service	7.65% top individual; or PTE election at 7.9%	15.3% (capped at SS wage base $176,100 in 2025) on entire share	Full 20%	Sureties prefer audited financials; LLC accepted	Excellent
LLC with S-corp election (Form 2553) ✅ Recommended	Pass-through 1120-S; salary subject to FICA, distributions are not	Same 7.9% PTE option (Form 5S-ET)	FICA only on reasonable salary	Full 20% (W-2 wages aid §199A wage	Strong; sureties comfortable	Excellent

				limit)		
C-corp	21% flat + 2nd layer at distribution (qualified dividends 15-23.8%)	7.9% franchise/income	None on dividends; FICA on salary	**Not eligible**	Some institutional clients prefer	Poor unless retaining all earnings to build for big bond program
Limited Partnership	Pass-through	Same	Limited partners may avoid SE tax on distributions	Available	Less common in construction	Weak — at least one GP has unlimited liability
Holding LLC + Operating LLC (S-corp election on operating) ✅ Recommended	Same as S-corp at op level	Same	Same	Full 20%	Strong; isolates equipment/IP	Best for asset protection

Why S-corp wins at this revenue scale:

Run the math on $3M revenue / $500K net profit / three equal owners (each $167K share):

Pure LLC (partnership)	LLC w/ S-corp election
Each owner pays SE tax on $167K	Each owner pays FICA on $130K salary (reasonable comp for owner-operator GC per BLS/CFMA) Nstarfinance
SE tax: ~$176,100 × 15.3% + ~$0 × 2.9% (under SS base) ≈ $25,564	FICA: $130,000 × 15.3% ≈ $19,890
FICA savings per owner	**≈ $5,700/yr/owner ≈ $17,000/yr total**
Plus: $37K of distributions are no longer "earned income" but it's offset by reasonable comp test	

The S-corp election starts paying off once net income per partner exceeds ~$80K–$100K. Below $80K, payroll/compliance costs eat the savings. Nstarfinance

Reasonable compensation in construction (IRS Fact Sheet FS-2008-25): BLS OEWS data shows residential GC owner comp ranges $65K–$110K; SDO CPA commercial GCs $90K–$160K. Document annually with a 1-page memo citing BLS data, CFMA salary surveys, and rationale tied to the owner's actual functions (estimating, PM, sales, etc.). *Do not* set salary at a token amount — the IRS reclassifies distributions as wages and assesses back FICA + penalties.

S-corp restrictions to mind: ≤100 shareholders, only US citizens/residents, only one class of stock (so you cannot create true preferred-equity tranches; you have to use compensation mechanics for differential economics — see Section 5). LLCs taxed as S-corps can have differing distribution rights only to the extent they don't violate the one-class-of-stock rule (debt instruments, salary, and bona fide expense reimbursements are safe).

C-corp math at $500K net profit (3 owners):

- $500K × 21% = $105K corporate tax → $395K available to distribute
- $395K dividend × ~20% qualified rate = $79K personal tax
- Total: $184K (~36.8%) vs. S-corp pass-through ~$157K including FICA + Wisconsin

- **C-corp loses by ~$25K/year unless you are retaining 100% of profits** to build bonding capacity. If your strategy is to plow all earnings back into equipment, real estate, and a $20M bonding line over 5 years, C-corp deserves a second look — but given your stated goal of fair compensation to active partners, S-corp election is correct.

Built-in gains tax: If you convert the LLC from partnership to S-corp later, IRC § 1374's BIG tax (21%) applies to unrealized appreciation existing at conversion if recognized within **5 years**. Mitigation: get a fresh appraisal at conversion to establish a high "built-in" basis floor. Better still: elect S-corp from inception on NewCo so this never arises.

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3. The $80/Hr 1099 Cross-Billing Arrangement: Risks and Documentation

The basic structural feature: Because Ben and John each invoice through *their own LLCs* (not as individuals), the 1099 issued is to a corporate entity, not a person, and Form 1099-NEC is generally not required for payments to a corporation under Treas. Reg. § 1.6041-3(p). This dramatically reduces — but does not eliminate — misclassification risk. The risk transfers: it isn't really a 1099-vs-W-2 question between you three; it's whether the *workers staffing each job* are properly classified by whoever's LLC is the prime.

Wisconsin DWD Nine-Part Test (Wis. Stat. § 102.07(8) — Workers' Comp; § 108.02(12) UI is similar): *All nine* must be satisfied:

1. Maintains a separate business
2. Has a Federal EIN (or filed federal business taxes the prior year)
3. Operates under specific contracts
4. Bears responsibility for operating expenses
5. Is responsible for satisfactory performance (warranty)
6. Is paid per contract, per job, by commission, or by competitive bid
7. Is subject to profit/loss exposure
8. Has recurring business liabilities (overhead)
9. Success or failure depends on the relationship of receipts to expenditures

Each of you and your LLCs *probably* satisfy all nine, but the **soft spots** are #1 (single client = not a separate business) and #6 (hourly $80 looks like wages, not bid). Wisconsin penalties under Wis. Stat. § 108.221: $500 per misclassified employee (max $7,500/incident); doubles to $1,000/$25,000 for repeat offenders; **stop-work orders** can halt your jobsite same-day. MWH Law Group

The federal overlay:

- **DOL 2024 Final Rule** (eff. Mar 11, 2024): six-factor totality test focused on economic dependence. **Note**: On Feb. 26, 2026, DOL proposed rescinding the 2024 rule and reverting to the 2021 framework (two "core factors"), Honigman and DOL has already announced it will not enforce the 2024 rule pending rulemaking. Honigman **However, the 2024 rule still applies in private FLSA litigation and in court analyses** until formally rescinded. Plan around the stricter standard.
- **IRS 20-factor test** (now consolidated as Behavioral Control, Financial Control, Relationship): IRS focuses on instrumentalities, payment method, integration, and exclusivity. Hourly billing at a fixed rate is the *worst* fact pattern.

Specific risks unique to your $80/hr arrangement:

1. **Hourly billing kills factor #6 of the WI test.** Restructure as **fixed-bid sub-contracts per scope** ("Frame package: $X" not "framing labor: $80/hr").
2. **Same-jobsite mutual labor exchange** triggers the integral-to-business factor (DOL 2024) and centrality-of-services

factor (Wisconsin economic-reality test under *Spirides v. Reinhardt*).

3. **No purchase orders or written sub-contracts** is dispositive in audits. Each engagement needs a one-page subcontract agreement specifying scope, deliverable, fixed price, completion date, indemnity, and insurance requirements.
4. **Multi-year exclusivity to a single LLC** breaks separate-business factor.

Documentation checklist for the next 6–12 months while you transition:

- Each LLC has its own FEIN, separate bank account, separate WI Seller's Permit
- **Master Subcontractor Agreement** between each pair (prime ↔ sub) on file
- **Per-job purchase order/work order** with fixed price, scope, timeline
- **Certificates of Insurance (COI)** from each sub naming the prime as additional insured ($1M GL minimum)
- **Workers' comp policy** for each LLC (or sole-proprietor exemption certificate filed with WI DWD if zero employees)
- **W-9** on file from each sub LLC
- **Form 1099-NEC** issued to each LLC if any are taxed as disregarded entities or partnerships (corporations, including S-corps that have not formally received corporate status, are exempt — but IRS guidance recommends issuing anyway to be safe)
- **Multiple-customer evidence**: each LLC should have at least 2-3 unrelated customers per year to bolster the "separate business" factor
- **No exclusivity clauses** in subcontract agreements

My recommendation: target 6 months on this arrangement, max 12. It is a defensible bridge but not a destination; the longer it runs, the more it looks like a de facto joint venture without the legal protections of one.

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4. Mechanics of Consolidating Three LLCs into NewCo

Two clean paths:

Path A — "Roll-Up" Asset Contribution under IRC § 721 (Recommended)

Each existing LLC contributes its assets (and associated liabilities) to NewCo in exchange for a 1/3 membership interest. Under § 721(a), no gain/loss is recognized AE Tax Advisors to either the contributing LLC or NewCo. Carryover basis under § 723; carryover holding period under § 1223(2). The existing LLCs become holding entities that hold one-third of NewCo each (which provides the asset-protection layering described in Section 5).

Variation A1 — "Assets-Over" Merger (Treas. Reg. § 1.708-1(c)): The two non-surviving LLCs transfer assets to the surviving LLC in exchange for interests, then liquidate, distributing the surviving LLC's interests to their members. Same § 721 nonrecognition. Easier in form but eliminates the holding-LLC structure.

Variation A2 — Direct Member Contributions: Each of the three of you individually contributes your existing LLC interest to NewCo. You end up owning NewCo directly; existing LLCs become wholly-owned subsidiaries of NewCo. This loses the asset-protection benefit but is administratively simplest.

Path B — § 351 Contribution to a Newly-Formed S-Corp

Form NewCo as a Wisconsin corporation (or LLC that elects S-corp), each contributor transfers assets in exchange for stock. § 351(a) requires the contributors collectively control ≥80% immediately after — which you do, since you're the only contributors. Same nonrecognition.

Recommended hybrid: Form NewCo as a **Wisconsin LLC**. Each member's existing LLC contributes business assets via

Path A1. NewCo files **Form 8832 (entity classification election)** to be taxed as a corporation, then **Form 2553 (S-corp election)** within 75 days of formation. This gets you LLC charging-order protection at the WI state level + S-corp federal tax treatment.

Valuation Considerations:

You're agreeing to 33/33/33 ownership but the contributions may not be equal in value. Three approaches:

1. **Equalize by cash adjustment**: Whoever contributes more value receives a cash distribution from NewCo or a § 707(c) guaranteed payment to true up.

2. **Capital account differentiation**: All three get equal *interest* but unequal *capital accounts* — the partner with a larger capital account gets a preferred return on the difference until equalized (this complicates the one-class-of-stock rule for S-corps; do NOT do this if you've elected S-corp).

3. **Ignore valuation for now and equalize through contribution-of-services credits over time** — this works for an LLC partnership but creates issues if you elect S-corp (IRS will impute compensation income).

For an S-corp, the cleanest answer is #1: Have each contributing entity's assets independently valued (CPA business valuation, $5K–$15K each), and any partner contributing less in value injects cash or signs a promissory note for the difference. The note can be paid down over 3-5 years via reduced distributions.

Section 754 Election: Make the § 754 election **on NewCo's first Form 1065 (if partnership-taxed) or as an attached statement** at formation. This permits § 743(b) and § 734(b) basis adjustments when interests change hands, which is critical for buy-sell triggers later. (If you elect S-corp, § 754 doesn't apply and you have a less flexible basis regime — another tradeoff.)

Existing Contracts/WIP Treatment: Open contracts in any LLC must be either (a) novated to NewCo (with customer consent), (b) subcontracted from old LLC to NewCo, or (c) completed in old LLC and the LLC dissolved after. Most residential customers don't object to a name change; commercial GCs sometimes do.

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5. Equal Ownership with Unequal Contributions

The framework: separate equity from compensation.

Equity (capital) = ownership of the *future enterprise value*. Compensation = pay for *current work performed*. The Michael Gerber E-Myth distinction maps roughly to:

- **Technician** (works *in* the business: hands on tools, runs jobsites): paid hourly or salaried per scope; compensation should match market labor rates.

- **Manager** (estimating, scheduling, project management): salaried W-2 + performance bonus tied to job profitability.

- **Entrepreneur** (sales/rainmaking, vision, systems, hiring): the role most likely to drive enterprise value; should be rewarded with a "rainmaker bonus" + equity appreciation.

Concrete compensation stack (recommended):

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1. W-2 Salary (Reasonable Comp)          ← FICA
   - User (Operator/Sales/Systems):        $130K base
   - Ben (DCQ?/Field Ops):                 $130K base
   - John (DCQ?/Field Ops):                $130K base

2. Role-Based Stipends (W-2 add'l)
   - DCQ holder:                           + $5K/yr stipend
   - Safety/Compliance officer:            + $5K/yr stipend
   - Marketing director:                   + $10K/yr stipend
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3. Rainmaker Bonus / "Eat-What-You-Kill" Pool
   - 10-15% of gross profit on jobs you
     personally originated (sourced + sold)
   - W-2 (subject to FICA) per IRS

4. Performance Bonus
   - Pool = 10% of net income above target
   - Distributed by points/scores tied to KPIs
   - W-2

5. Equal 1/3 Distribution of Residual Net Income
   - Pro-rata to ownership
   - Not subject to FICA (S-corp distributions)
   - QBI-eligible
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The user's specific situation: You bring no current credential and possibly less existing book of business. But you're a **systems/marketing/AI strategy** operator. That's enormously valuable in a construction roll-up — most contractors can build but cannot market, estimate digitally, or operate financial systems. You should:

1. Take a Director of Marketing/COO role at NewCo with W-2 salary set at fair market value ($120K–$160K is appropriate for this role at $1M–$5M revenue based on CFMA data).
2. Negotiate the rainmaker bonus structure aggressively — if your pipeline-generation skills produce 50% of jobs, you should get that share of the rainmaker pool.
3. Accept equal 1/3 ownership for the long-term equity appreciation (the *real* wealth event in construction is the eventual sale at 4–6x EBITDA — see § 6).
4. Insist on a **vesting schedule** so all three partners have skin in the game equally.

Vesting Schedule (Critical):

- 4-year vesting, 1-year cliff (i.e., 0% vested for 12 months; then 25% per year for 4 years total).
- *All three* partners' equity vests on the same schedule. Anyone leaves before vesting is complete forfeits unvested equity (or it is repurchased at book value).
- For a profits interest (see below), file a **protective § 83(b) election** within 30 days of grant.

Profits Interests vs. Capital Interests (Tax Implications):

If you grant equity to a partner *in exchange for services* before they contribute capital, IRS treats it differently:

- **Capital interest** = right to a share of liquidation proceeds *on day 1*. Grant is **taxable** as ordinary income at FMV (less amount paid) under § 83. If unvested, taxable on vesting unless 83(b) election made. **This is the user's problem if he is granted equity for sweat equity without contributing assets equal to Ben/John.**
- **Profits interest** = right to share in *future* profits/appreciation only; would receive $0 if liquidated immediately. Under **Rev. Proc. 93-27** and **2001-43**, grant is **non-taxable** if the partnership is not a publicly traded one and the interest is held >2 years. **This is the right tool for the user.**

Practical implementation: If contributions are unequal, structure the disparity as a "preferred distribution hurdle" to the higher contributor for a fixed period (say, 3 years) until economic equalization. The lower contributor receives a profits interest above the hurdle. Once equalized, all distributions are 33/33/33. This is **incompatible with S-corp election** (one class of stock rule), so if you elect S-corp from day 1, equalize via cash/note instead.

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6. Operating Agreement / Buy-Sell Provisions: Wisconsin-Specific

Wisconsin's New LLC Law (WULLCL, Chapter 183, eff. Jan. 1, 2023): Replaces the prior LLC act with a Revised

Uniform Limited Liability Company Act-based regime. Key changes affecting your structure:

- Operating agreements can now be **oral, written, implied, or any combination** — meaning informal conduct can amend your written agreement. **Lock everything down in a written, integrated agreement with a "no oral modification" clause** that itself complies with statute.
- **Statutory fiduciary duties of loyalty and care** are now imposed by default (under prior law you could waive). Operating agreement may modify but not eliminate.
- **Default rule changed for withdrawing members**: under the *new* law, a withdrawing member is NOT entitled to a buyout — they retain transferable interest only and must "let it ride" until dissolution. This is a *major* change. **Override this default in your operating agreement** with a buyout mechanism.
- **Charging order is the exclusive remedy** for a member's personal creditors — preserves asset protection.

Decision Thresholds (recommended):

- **Unanimous (3 of 3)**: Admit new member; sell business; dissolve; amend operating agreement; incur debt > $250K; transactions with related parties; capital calls; change of business purpose.
- **Supermajority (2 of 3)**: Annual budget; CapEx > $50K; hire/fire C-suite; bonding line above current limit; major contracts > $500K.
- **Majority (any 2)**: Day-to-day operations; hiring/firing line workers; routine contracts.

With three equal partners, deadlock is structurally rare (any 2 form a majority), but **a 2-1 vote on a critical issue still leaves a permanently outvoted minority partner** — the most common failure mode in 3-person partnerships.

Deadlock Resolution Mechanisms (recommended layering):

1. **Mediation first** (30 days, mutually selected mediator).
2. **Forced binding arbitration** if mediation fails (AAA Construction rules, single arbitrator).
3. **Texas Shoot-Out (Russian Roulette)** as last resort: any partner can serve a notice naming a price per unit; the receiving partner(s) must either *buy* the offeror's interest at that price OR *sell* their interest to the offeror at that price Wikipedia within 60 days. With three partners, modify so that the offeror names a price and the *other two* must either jointly buy (each taking half of the offeror's interest) or sell to the offeror jointly.
4. **Independent appraisal fallback** if shoot-out is infeasible (high-low: averaging two appraisals).

Buy-Sell Triggers (the "5 D's" plus more):

- **Death**: Estate must sell to remaining partners; funded by cross-purchase life insurance ($1M–$2M per partner is standard for a $1M-$5M business).
- **Disability** (90+ days): Same.
- **Divorce**: Wisconsin marital property requires special care. The non-employee spouse has an undivided ½ interest; on divorce, the divorce court can order a transfer. **Operating agreement must require any spouse to sign a "Spousal Consent" agreeing the LLC interest is the partner's individual property and that on divorce the spouse will accept cash/notes equal to ½ the appraised value, NOT an LLC interest.** Also execute a Marital Property Agreement (Wis. Stat. § 766.58) reclassifying the LLC interest as individual property.
- **Departure (voluntary)**: Notice + good-leaver/bad-leaver pricing (book value for early voluntary; FMV after 5 years).
- **Default/Breach**: Reduced FMV (e.g., 80%).

Valuation Methods (use a hybrid):

- **Annual formula**: 4× trailing-12 EBITDA, capped between book value floor and 6× ceiling. Construction businesses transact at **9–11× EBITDA** Vikingmergers in M&A markets per industry data (Viking M&A) but private buy-sell formulas typically discount to 3–5× to maintain affordability between partners.

- **Override**: If partners mutually agree on a different value at year-end (signed certification), that controls.
- **Backup**: Independent appraisal averaging two appraisers.

Buyout Funding:

- **Life/disability insurance**: Cross-purchase between partners (each owns policy on the other two) is preferable to entity-redemption for tax basis reasons.
- **Sinking fund**: Annually allocate 5–10% of profits to a buy-sell reserve.
- **Installment notes**: 5-year amortizing note at AFR + 100bps; secured by a UCC-1 on the seller's interest.

Restrictive Covenants in Wisconsin (Wis. Stat. § 103.465): The "5-factor test" — necessary for protection of business; reasonable time; reasonable territory; not unreasonable to employee; not unreasonable to public. **Indivisibility risk** is huge: if the *non-compete* clause overreaches, the *non-solicit* clause may go down with it (Wisconsin courts generally won't blue-pencil; *Star Direct* gives some divisibility relief if covenants are written as separate textual clauses).

Construction-specific recommendations:

- Non-compete duration: **2 years post-termination** (defensible).
- Geographic scope: list specific Wisconsin counties served, NOT statewide.
- Define "competing business" narrowly: residential GC for 1-2 family dwellings in the listed counties, not "any construction."
- **Customer non-solicit**: 2 years, only customers with whom partner had material contact in the 12 months pre-departure.
- **Employee non-solicit**: 2 years, no carve-outs.
- Place these in the **operating agreement** (rule of reason analysis) rather than a separate employment agreement (§ 103.465 strict scrutiny).
- The **FTC's 2024 non-compete ban** is currently enjoined and effectively dead; do not rely on it but watch for any DOJ/FTC re-attempt.

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7. Tax Optimization Stack (2025–2026 Specific)

Bonus Depreciation & § 179 (post-OBBBA, eff. Jan. 19, 2025):

- **100% bonus depreciation permanent** for tangible property with class life ≤20 years (vehicles, equipment, computers, qualified improvement property).
- **§ 179: $2.56M deduction limit / $4.09M phase-out threshold / $6.65M full phase-out (2026)**; SUV cap $32K; indexed annually.
- Stacking: § 179 applied first (selective), then 100% bonus on remainder. § 179 limited to taxable income; bonus is not.

Vehicle deductions: Heavy SUV (GVWR > 6,000 lbs) — § 179 cap of $32K + bonus on remainder = full expensing if > $32K. Pickup trucks (>6,000 lbs GVWR + 6-ft bed) escape the SUV cap entirely and are fully expensable. F-250s, Silverado 2500HDs, Ram 2500s qualify.

Retirement plans (scaling roadmap):

Stage	Best Plan	Owner Max Contribution
	SEP-IRA (25% of W-2 wages, max $70K	

Yr 1, ≤5 employees	2025)	~$32K on $130K salary
Yr 2–3, 5–15 employees	Safe Harbor 401(k) + Profit Sharing	$23,500 deferral + $7,500 catch-up if 50+ + 25% PS = up to $70K total
Yr 3+, $200K+ owner comp	Cash Balance + Safe Harbor 401(k) "OwnersPlus" combo	$150K–$300K/yr deductible, age-weighted
Avoid	Solo 401(k) — only works with no employees other than spouse	N/A once you have W-2 employees

Cash balance plans are powerful at this scale: a 50-year-old owner can contribute ~$200K/yr that's fully deductible at the entity level Dedicated DB (reducing W-2 income, increasing QBI deduction headroom for non-owner employees, and accumulating tax-deferred wealth).

Health Insurance (HRA Strategy):

- **QSEHRA**: limited to <50 employees, capped at $6,350/single, $12,800/family (2025); reimburses individual coverage.
- **ICHRA**: no cap, no employee count limit, more flexible classes; reimburses individual coverage. **Recommended for construction firms with field employees.** Separate "class" for owners (≥80% owners) lets you provide higher reimbursement to owners.
- **Group plan**: Standard at $20K–$30K/yr/family. ICHRA usually beats this at 5–25 employees.

Accountable Plan: Mandatory. Adopt formally by entity resolution; reimburse owner-employees for mileage (current IRS rate $0.70/mi for 2025), home office allocation, cell phone, tools — these are *not* taxable to the owner and are deductible to the company.

Cost Segregation: If NewCo (or a related LLC) buys the shop/yard property, a cost-seg study reallocates 20-30% of the building cost into 5-, 7-, and 15-year property eligible for 100% bonus depreciation. On a $750K building, $200K of accelerated deductions in year 1 = $50K–$70K in tax savings. Highly leveraged tactic for owners earning $200K+.

R&D Tax Credit (§ 41): Often overlooked in construction. If you do **custom design work, BIM modeling, prototyping new building systems, energy-efficient design iteration, or developing proprietary software/processes**, you may qualify. Credit is ~6.5% of qualified research expenses. OBBBA: § 174 R&D capitalization rules apply (5-year amortization for domestic, 15-year for foreign), with small business exception now permanent.

Wisconsin Pass-Through Entity Tax (PTE) Election:

- Wisconsin allows partnerships and S-corps to elect entity-level taxation 1-800Accountant at the **flat 7.9%** rate (Wis. Stat. § 71.21(6)(b) for partnerships; § 71.365(4m) for S-corps).
- Federally deductible as an entity-level expense, bypassing the 1-800Accountant **$40K SALT cap (2025) / $40,400 (2026)** under OBBBA, which phases down for AGI > $500K.
- Trade-off: The 7.9% rate is *higher* than the top WI individual rate of 7.65%, Instead costing you 0.25% of taxable income — but you save federal tax (37% × 7.9% = ~2.9% federal benefit on the deduction). Net benefit ~2.5%, which on $500K of pass-through income = **$12,500/yr saved**.
- **Drawback**: Some WI credits (e.g., the Manufacturing & Agriculture Credit) are not available at the entity level. Construction generally doesn't claim M&A credit, so this isn't an issue.
- **Election deadline**: With Form 5S-ET filed by the original due date (March 15 for calendar year), or the extended due date (Oct 15 with 7-month auto-extension for S-corps).

Accounting Method (CRITICAL for Construction):

- **Cash method** is permitted for any contractor with average annual gross receipts ≤ **$31M (2025) / ~$32M (2026)** under § 448(c) — the small business exception.

- **Long-term contract methods** (§ 460): Default is Percentage-of-Completion (PCM). Small contractor exception (≤$31M gross receipts and contract expected to complete in ≤2 years before OBBBA, **now ≤3 years per OBBBA**) permits **Completed Contract Method (CCM)** — deferring all income/expense recognition to year of completion.
- **OBBBA expansion**: For contracts entered into in tax years beginning after July 4, 2025, **multifamily residential** (apartments, senior living, student housing) qualifies for CCM regardless of contractor size.
- **Recommendation at $1M-$5M revenue**: **Cash method overall + CCM for long-term contracts.** This defers tax liability significantly. Use **PCM for book/financial statements** to satisfy bonding companies (sureties prefer PCM accrual-basis financials); maintain dual-purpose books.

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8. Construction-Specific Operational Considerations

Bonding Capacity and Entity Structure: Sureties evaluate (a) Working Capital, (b) Net Worth, (c) Profit/Loss history, (d) WIP schedule accuracy, (e) Personal financial statements of owners, (f) Personal/business credit. The 10–20× working capital rule of thumb means $250K of working capital → $2.5–$5M aggregate bond program. EisnerAmper **Entity structure affects bonding mainly through:**

- *Audited or reviewed financials* required at higher bond limits ($2M+). Audited statements cost $15K–$30K/yr; reviews $7K–$15K. CPA-prepared compilations are sufficient under $750K bonded work.
- *Indemnity*: Sureties almost always require **personal indemnity from all owners > 10%** plus their spouses (Wisconsin marital property = surety wants spouse's signature). This pierces any LLC veil for surety claims; the holding-LLC-of-LLC structure does NOT protect against surety indemnity calls.
- *Preserving net worth* in the holding LLCs (assets that aren't pledged to the surety) gives you protected wealth outside the indemnity scope.

Insurance Stack (Wisconsin construction at $1-5M revenue):

- General Liability: $1M/$2M minimum, $2M/$4M preferred
- Workers' Comp: Required for any W-2 employee in Wisconsin (Wis. Stat. § 102)
- Commercial Auto: $1M minimum, often $2M for tow/fleet
- Umbrella: $5M (cheap incremental cost)
- Builders Risk: Per project, owner-procured or contractor-procured
- Professional Liability (E&O): Required if doing design-build or design-assist
- Pollution Liability: For lead/asbestos/mold exposure
- Cyber Liability: Increasingly required by GCs

Mechanics' Liens (Wis. Stat. Ch. 779):

- Wisconsin requires a **Notice to Owner** within 60 days of first work for any contractor without direct contract with the owner.
- **Lien must be filed within 6 months** of last work performed.
- Action to enforce: 2 years from filing.
- Entity structure does not affect lien rights — they belong to the entity that performed the work and is owed payment. Properly novate WIP contracts to NewCo to preserve lien rights.

Wisconsin Sales/Use Tax on Construction (Wis. Stat. Ch. 77; Wis. Admin. Code § Tax 11.68): This is one of WI's quirks:

- Contractors are generally the **consumer** of materials used in real-property construction; they pay sales tax on *purchase* and do NOT charge sales tax on the contract.
- **Tangible personal property installed but retaining personal-property character** (e.g., free-standing equipment) — the contractor is a *retailer*, can buy tax-free for resale, and charges sales tax to the customer.
- **Construction Contract Exemption (Wis. Stat. § 77.54(60))**: For contracts with exempt entities (governments, schools, qualifying nonprofits) where < 10% of contract is taxable products — the contractor consumes (pays tax on materials), customer is exempt from sales tax on the contract.
- **This is a major audit risk area in Wisconsin.** Build a clear materials-tracking system from day 1, with tax paid-at-purchase documented, and exempt-purchase certificates (Form S-211) for resale items.
- WI sales tax = 5% state + 0.5% county tax in most counties National Tax Reports + special districts (Milwaukee adds 0.9% county + 2% city). National Tax Reports

Prevailing Wage:

- **Wisconsin REPEALED** state prevailing wage (local repealed Jan 1, 2017; state repealed Sept 23, 2017). eMars
- **Federal Davis-Bacon** still applies to any project ≥ $2,000 with federal funding Procore (HUD, DOT, USDA, IIJA infrastructure $$, etc.).
- For purely state/local-funded WI public works: NO prevailing wage. This is a competitive advantage WI contractors have over MN (which has Little Davis-Bacon) and IL (which has its Prevailing Wage Act).

MBE/WBE/DBE/VBE Certifications:

- Require **51% ownership AND control AND active management** by the qualifying class member. Kristinamwynne
- 33/33/33 ownership across three non-minority male owners → **NOT eligible** for MBE/WBE/DBE.
- DBE (federal) also has a $1.32M personal net worth cap on the qualifying owner Coupa — even a single 51% owner who is qualifying class would still need to meet this.
- If one of you is a qualifying class member, you'd need to give up the equal-ownership goal and structure 51/24.5/24.5 with appropriate operational control vested in the qualifying owner. **Probably not worth the trade-off** unless you specifically target government/transportation contracts where 6-15% DBE goals are mandated. Note Wis. Stat. § 16.287(1) on WI MBE.

Subcontractor Management & 1099 Reporting:

- Form 1099-NEC required for any non-corporate sub paid ≥ $600/year (W-9 collected up-front).
- Workers' comp certificates required from each sub (or sole-proprietor exemption certificate).
- Pre-qualify subs: license verification (DSPS), insurance limits, financial stability.
- Subcontractor agreement template is non-negotiable — never let work proceed on a verbal basis.

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9. Scaling Considerations & Inflection Points

Revenue thresholds to watch:

- **$1M revenue / $200K net income**: S-corp election starts paying for itself.
- **$3M revenue / $500K net income**: Cash balance plan economics make sense; consider cost-seg if owning real estate.

- **$5M revenue**: Approaching review-quality financial statements territory (sureties, banks). Hire a controller or fractional CFO.
- **$10M revenue / 30+ employees**: Audited financials required for serious bonding ($5M+ aggregate). C-corp re-evaluation begins to make sense if you're retaining all earnings to fund growth.
- **$31M revenue (3-yr avg)**: Lose cash-method/CCM eligibility; mandatory PCM accrual.
- **$25M+ revenue**: Lose § 163(j) small business interest deduction exception.

W-2 vs. 1099 hiring decision tree:

- W-2 employees: Fixed schedule, training provided, integral to business, exclusivity → must be W-2.
- 1099 subs: Independent licensed contractors with own business, multiple clients, fixed bid scope, control over means → defensible 1099.
- Construction industry standard: **Core team W-2 (foremen, project managers, senior carpenters), specialty trades 1099 (electricians, plumbers, HVAC, roofers, drywall).**

Back-office tech stack (priority order):

1. **Accounting**: QuickBooks Online + Construction industry layer (or Foundation Software, Sage 100 Contractor for $10M+).
2. **Project management**: Buildertrend ($199-$799/mo) for residential; Procore ($375+/mo, more enterprise) for commercial. CoConstruct merged into Buildertrend.
3. **Estimating**: Buildertrend Estimating, PlanSwift, STACK (cloud takeoff).
4. **Field**: Companycam (photo documentation, $24/user/mo), Knowify (job costing).
5. **CRM**: HubSpot or industry-specific (JobNimbus, AccuLynx for roofing).
6. **Payroll**: Gusto or ADP. Construction-specific: Payroll4Construction for prevailing wage compliance if doing federal work.

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10. Wisconsin-Specific Legal/Tax Quirks Summary

Item	WI-Specific Treatment
LLC Law	Chapter 183 / WULLCL (eff. Jan 1, 2023), oral/implied operating agreements valid, default no buyout on withdrawal
Marital Property	Community property state (Ch. 766); spouse has 50% undivided interest in marital property; MPAs and spousal consents critical
Corporate Tax Rate	7.9% flat (corporate income or franchise) Wisconsin Department of Revenue Whitewater-wi
Individual Top Rate	7.65%
PTE Election Rate	7.9% (Form 5S-ET; § 71.365(4m))
Economic Development Surcharge	3% of gross tax for C-corps with $4M+ gross receipts (max $9,800); Wisconsin Department of Revenue Wisconsin Department of Revenue 0.2% of net business income for S-corps Wisconsin Legislature

Sales Tax	5% state + 0.5% county (most) + special; contractor is consumer of real-property materials
Prevailing Wage	REPEALED at state/local level; federal Davis-Bacon only eMars
Worker Classification	DWD 9-part test (strictest in nation); construction-site investigations authorized; stop-work orders
Non-Competes	§ 103.465 — strict "all or nothing" with limited divisibility post-*Star Direct*
Mechanics' Liens	Ch. 779 — 60-day notice, 6-month filing, 2-year action
Construction License	DSPS DC (entity) + DCQ (individual); no exam, 12-hr course; no neighbor-state reciprocity Generalcontractorlicensecenter
MBE	51% min owned/controlled/managed; § 16.287 Wi

Recommendations

Stage 1 — Next 30–60 Days (Pre-Formation)

1. **User completes 12-hour DCQ course** ($99) and submits LicensE application; expected approval in 2–4 weeks.
2. **Engage a Wisconsin construction-specialized CPA AND a business attorney** (Reinhart, Godfrey & Kahn, Husch Blackwell, or smaller firms like Boardman Clark, Stafford Rosenbaum). Budget $15K–$30K for formation and operating-agreement work; cheap insurance.
3. **Obtain three independent valuations** of each existing LLC's contribution (assets, contracts, goodwill, equipment). $5K–$15K each.
4. **All three partners + spouses sign letters of intent** outlining 33/33/33 ownership, vesting schedules, and compensation framework.
5. **Begin documenting the existing $80/hr arrangement** with proper subcontractor agreements, COIs, W-9s — not because you're keeping it, but to defend the prior 12 months under audit.

Stage 2 — Months 2–4 (Formation)

1. **Form NewCo as a Wisconsin LLC** (Articles of Organization, $130 fee via WI DFI online).
2. **File Form 8832 + Form 2553** for S-corp election within 75 days of formation.
3. **Each existing LLC contributes assets to NewCo under § 721/§ 351** in exchange for 1/3 membership; existing LLCs become single-member holding LLCs (disregarded entities).
4. **Apply for NewCo's DC certification** + register the user (or another DCQ) as the qualifying employee.
5. **Open NewCo bank accounts; obtain FEIN; file BTR-101 with WI DOR; obtain seller's permit.**
6. **Procure insurance and bonding** in NewCo's name; transfer existing certificates.
7. **Execute Operating Agreement, Buy-Sell Agreement, and Marital Property Agreements simultaneously.**
8. **Adopt accountable plan resolution; payroll setup with Gusto/ADP; payroll begins at reasonable comp levels for all three.**

Stage 3 — Months 4–12 (Transition)

1. **Wind down 1099 cross-billing** — convert to consolidated NewCo operations.

2. **Migrate existing customer contracts** (novation or sub-contracting from old LLCs).
3. **Set up project management software (Buildertrend) + accounting (QuickBooks Construction).**
4. **Implement WIP reporting monthly** for surety relationship-building.
5. **Establish SEP-IRA** in year 1 for owner retirement savings.
6. **Make first-year WI PTE election** on Form 5S-ET.

Stage 4 — Year 2+

1. **Convert SEP-IRA to Safe Harbor 401(k) + Profit Sharing** as employee count grows.
2. **Add Cash Balance plan** when partners' compensation crosses $200K each.
3. **Annual buy-sell valuation refresh** — board resolution at year-end.
4. **Annual restrictive-covenant review** — Wisconsin law evolves.
5. **Consider real-estate LLC** to own shop/yard, leased to NewCo (cost seg + estate planning benefits).

Benchmarks That Would Change These Recommendations

- **Combined revenue exceeds $10M**: Re-evaluate C-corp election (especially if retaining 100% earnings). Engage in audited financial statements.
- **Combined revenue exceeds $31M**: Lose CCM/cash method; mandatory PCM accrual restructuring.
- **One partner becomes a qualifying-class minority/woman owner**: Restructure to 51/24.5/24.5 to capture MBE/WBE/DBE certifications IF you target government work.
- **Significant interstate work (>30% revenue from MN/IL/IA/MI)**: Register foreign LLC + obtain state-specific licenses; consider holding company that owns multiple state-specific operating subs.
- **Plan to raise outside capital (PE, family office)**: C-corp conversion likely; profits-interest framework ill-suited for institutional capital.
- **DOL formally rescinds 2024 IC rule (expected mid-2026)**: 1099 subcontractor risk decreases at federal level — but Wisconsin's 9-part test is unchanged.
- **TCJA SALT cap fully repealed by Congress**: PTE election becomes neutral rather than beneficial; reconsider.

Caveats

- **DOL 2024 Independent Contractor Rule is in flux.** The Trump DOL announced (May 2025) it would not enforce the 2024 rule, and on Feb. 26, 2026, proposed a new rule reverting toward the 2021 framework. Until rescission is final, the 2024 rule remains the legal standard in private FLSA litigation and in court analyses. Treat the 2024 six-factor test as the floor.
- **Wisconsin tax legislation is active.** The 2025-27 biennial budget is debating corporate rate reductions from 7.9% to as low as 6.9%. Wisconsin Legislature The recommendations assume current 7.9%; lower rates would *strengthen* the C-corp argument modestly.
- **OBBBA implementation guidance is still developing** (IRS Notice 2026-11, 2026-16). Some 100% bonus depreciation edge cases (binding-contract dating around the Jan. 19, 2025 cutoff) require careful tax counsel.
- **Wisconsin marital property law has nuanced determination-date rules** (Wis. Stat. § 766.03) — the date the law first applies depends on residency timing. If any partner moved to WI within the past few years, deferred marital property classifications apply and need specific review.

- **Bonding underwriters are highly relationship-driven** and may impose covenants (working capital minimums, dividend restrictions) that override your operating agreement's distribution provisions. Negotiate at formation, not later.
- **Section 754 election and S-corp election are mutually exclusive in effect.** If you elect S-corp, you give up partnership-style basis flexibility forever (until/unless you revoke S election, which has its own consequences). Model both scenarios with your CPA before deciding.
- **Profits interests + S-corp election are largely incompatible.** Profits interests are a partnership concept (Rev. Proc. 93-27). If you elect S-corp, you must use restricted stock or stock options instead — both with worse tax profiles. **This argues for delaying the S-corp election until equalization is complete**, OR for equalizing through cash/note rather than equity grants from day 1.
- **Wisconsin-specific construction sales tax compliance is genuinely complex** (consumer vs. retailer determination per Tax 11.68). Audits are common. A construction-specialized CPA is non-negotiable.
- **The 33/33/33 equal-ownership goal can produce structural deadlock at the supermajority level (2 of 3) — this is uncommon but real.** A long-term consideration: introduce a tie-breaking mechanism (e.g., independent fourth director with limited voting rights only on deadlocked issues, or rotating chair with deciding vote) for important categories of decisions.
- **The user's compensation is the most important issue and the easiest to under-negotiate.** Construction operators routinely undervalue marketing/sales/systems contributions because the technical partners "did the real work." Anchor compensation discussions to: (a) BLS data for the user's actual functional role (Marketing Director ~$120K-$160K + bonus at this revenue scale); (b) specific KPIs the user owns (lead generation, conversion rate, CAC, gross margin); (c) the rainmaker bonus formula. Lock these in writing, in the operating agreement, before formation — not after the first year when relative contributions become visible.